NVIDIA Corporation

NVDA NASDAQ

Buy	$217.62 ▲ 0.75%	12M Price Target	52-Week Range	Market Cap
		$260.00	$164.27 – $243.37	$5.25T

NVDA: Steady Grind Higher as AI Capex Keeps Flowing

WHAT HAPPENED

- Quiet tape — stock up 0.75% on light volume (51M shares vs the usual 90M+), which tells me nobody's panicking and nobody's chasing. Classic "digestion" after last week's wobble where it dropped from $222 to $211.
- The options desk is screaming bullish though — call buying is nearly 2x put buying, and there's unusual activity in $217.50 and $220 calls expiring this week. Translation: somebody with real money is betting NVDA pushes higher into month-end.

WHY IT MATTERS

The bounce from $211 back to $217 with declining volume says the sellers tapped out — nobody wants to be short this name heading into earnings season when hyperscalers (Microsoft, Google, Meta, Amazon) report capex plans. Every single one of those companies has been raising their AI spending guidance for six straight quarters, and NVDA captures roughly 80 cents of every datacenter GPU dollar. The real story here isn't the daily move — it's that NVDA is sitting at 67% of its 52-week range with institutional ownership at 71%, meaning the "smart money" isn't selling. When BlackRock and Vanguard combined own 14.5% of a $5.25 trillion company and aren't trimming, that's a floor under the stock.

POLICY & POLITICAL WATCH

The big one to watch: the Trump administration's AI Action Plan (rolled out mid-2025) explicitly prioritizes US compute dominance, and the recent US-China trade framework has quietly allowed NVDA to resume shipping modified H20 chips to China — a market worth $15-20B annually that was zeroed out last year. Congress is also debating expanded CHIPS Act funding and permitting reform for data centers (a bottleneck for AI buildout), both of which are direct tailwinds. The risk: if the China deal breaks down or if there's a new executive order restricting advanced chip exports further, NVDA loses that reopened revenue stream overnight — this is the single biggest policy variable for the stock right now.

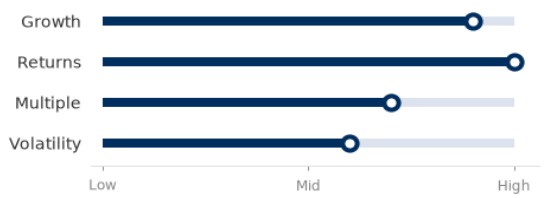
IS IT EXPENSIVE?

At ~49x forward earnings, you're paying $49 for every $1 of profit NVDA is expected to make next year — that sounds rich, but earnings are growing ~40% annually, so the "PEG ratio" (price vs growth) is roughly 1.2x, which is actually reasonable for a company printing 75% gross margins. Compare that to AMD at ~35x forward with slower growth, or Broadcom at ~38x with similar growth — NVDA isn't the cheapest, but it's the market leader with the best unit economics. The valuation is justified as long as hyperscaler capex keeps growing; it stops making sense if that spending plateaus.

Key Data

Price (USD)	**$217.62**
12M Price Target	**$260.00**
Upside / (Downside)	**+19.5%**
Market Cap	**$5.25T**
FY2026E Revenue	**$207M**
FY2027E Revenue	**$278M**
FY2026E EPS	**$4.45**
FY2027E EPS	**$6.20**
Fwd P/E	**48.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$235.00**	$225.00	**$205.00**
6 Months	**$265.00**	$240.00	**$190.00**
1 Year	**$300.00**	$260.00	**$175.00**
2 Years	**$380.00**	$310.00	**$160.00**
5 Years	**$550.00**	$420.00	**$150.00**
10 Years	**$900.00**	$600.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.64% today, +2.12% this week) is leading — this is the AI capex trade continuing to work, with policy support from both the AI Action Plan and permitting reform discussions.

COOLING OFF: Communications Services (-5.84% over 5 days) is getting hit hard — likely Meta/Google digestion fears after mixed ad commentary, which is ironic because their capex is what feeds NVDA.

ROTATION WATCH: Money is staying in tech but rotating within — away from ad-dependent names (Comm Services) and into pure infrastructure plays (semis, utilities powering data centers). That's a direct tailwind for NVDA.

RELATED PLAY: If NVDA keeps running, the picks-and-shovels around it benefit — think Vertiv (VRT) for data center cooling, Eaton (ETN) for power infrastructure, and the nuclear/natural gas names powering AI data centers (CEG, VST).

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI chip designs for hyperscalers — the "if you can't beat NVDA, hire Broadcom to help you build your own" trade
- TSM (Taiwan Semi): Every AI chip in the world runs through their fabs — they're the toll booth, benefiting regardless of which chip designer wins

NVDA CONTEXT: NVDA is roughly in-line with the semi sector this week — not leading, not lagging. That's actually healthy; when NVDA goes parabolic alone, it's usually near a short-term top. The steady grind with sector support is the setup you want for continued upside.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not pounding the table at $217 like I would've at $165, but the fundamental story and policy backdrop remain intact and I'd be a buyer on any 5-7% pullback.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Add on dips to $210-215 (recent support), back up the truck below $200 if we get a macro-driven selloff. Don't chase above $225 in the short term.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is hyperscaler 2027 capex guides (coming in January-February earnings) and the next sovereign AI deal announcement.

WHEN TO BAIL: Exit if (1) a hyperscaler cuts AI capex guide by double digits, (2) the China chip trade gets re-banned, or (3) a credible benchmark shows a competitor matching Blackwell/Rubin performance.

HEDGING: Simplest hedge — buy put options 10% below current price for 3-month protection; costs ~2% of your position but caps your downside. Or just keep some cash on the sideline so a selloff is an opportunity, not a crisis.

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